Session 1.1: The Platform Model Strategy



How every session in this course works

In this course you are the owner of a growing business. Each week you learn one strategy.

01

A business situation and one strategy in one paragraph

02

Words, four rules, and real companies that did it well or badly

03

Tools and three exercises: easy, medium, hard (with a memo)

At the end of the course you use these strategies in your final project.

CampusBikes: too few bikes in busy months

CampusBikes is Leo's bike rental shop next to campus. Students rent a bike for $5 a day. In busy months, 70 students a day go home without a bike, while many student bikes sit unused.

CAMPUSBIKES	VALUE
Bikes CampusBikes owns / rental price	**50 / $5 a day**
Busy months each year	**4**
Students who want a bike / turned away (busy day)	**120 / 70**
Students who own a bike they rarely ride	**800**
Cost of one new bike	**$300**
Repair and storage, per bike	**$15 a month**

What is the Platform Model Strategy?

A **pipeline** business makes or buys a product and sells it, so to grow it must buy more. A **platform** connects people who already have something (providers) with people who need it (users), and earns a small fee on each match. It grows by adding providers, not by buying more things, so it grows faster with less money at risk.

In return, the platform must do new jobs well: help strangers trust each other, make the trade easy, and keep quality high without owning the product.

Pipeline, platform, provider and user

Pipeline business

Makes or buys a product and sells it, step by step, like water through a pipe.

Example: a bakery bakes bread and sells it.

Platform business

Connects two groups so they can trade, and earns a fee on each match.

Example: Airbnb connects people who have a spare room with travelers.

Provider and user

The provider has something to offer; the user wants it.

Example: a student who rents out a bike / a student who rents it.

Asset, idle resource, take rate

Asset

Something a business owns that it uses to earn money.

Example: CampusBikes' 50 bikes.

Idle resource

Something people already own but rarely use.

Example: a bike that sits in a dorm most of the week.

Take rate

The fee the platform keeps, as a share of the price. Take rate = fee / price x 100.

Example: $1 of a $5 rental: 20%.

Transaction cost and trust tools

Transaction cost

The time, money, and worry needed to find a partner, pay, and check the promise is kept.

Example: meeting a stranger to hand over cash for a bike.

Trust tools

Things that help strangers trust each other: ID checks, ratings, deposits, insurance.

Example: a $50 deposit held by the app until the bike comes back.

Rule 1: Connect what others already own

Look for useful things that sit idle. When you connect them, you grow without paying for every new unit.



DO

Example

800 student bikes sit unused. CampusBikes lists them in its app instead of buying 70 new bikes.

AVOID

Common mistake

Calling yourself a platform but still buying or renting every asset. You carry a pipeline's costs.

Rule 2: Help strangers trust each other

A user will not rent a stranger's bike, and an owner will not lend it, unless both feel safe.



DO

Example

ID checks, ratings for owners and riders, a $50 deposit, and repair cover for damaged bikes.

AVOID

Common mistake

Posting phone numbers and leaving the rest to users. After one stolen bike, everyone leaves.

Rule 3: Make finding, paying, and checking easy

The platform wins when it makes the costs of a trade much smaller than doing the trade alone.



DO

Example

A map of nearby bikes, one-tap payment, and a lock code. No meeting is needed.

AVOID

Common mistake

Users must message owners, agree on a time, and meet to hand over cash. Students give up.

Rule 4: Keep quality high with simple rules

You do not own the product, but users blame you when it is bad. Set a few clear rules for providers.



DO

Example

Every bike passes a 3-point check (brakes, tires, lights). Owners with two bad ratings are removed.

AVOID

Common mistake

Letting anyone list anything. One broken bike hurts trust in every bike on the platform.

Airbnb

What happened

Airbnb owns almost no homes. It connects people who have a spare room or home with travelers. At the end of 2023 it had about 7.7 million active listings, with about 6,900 employees. A hotel company grows differently: Marriott paid about $13 billion in 2016 to buy Starwood Hotels.

Why it is good

- Hosts already owned the rooms, so Airbnb grew without buying buildings. **(Rule 1)**
- Reviews, ID checks, and in-app payment helped strangers trust each other. **(Rule 2)**
- Searching, booking, and paying happen in one app. **(Rule 3)**

GOOD EXAMPLE 2

YouTube

What happened

YouTube does not make most of its videos. People and companies upload them, and YouTube connects them with viewers and shares ad money with many creators. In 2019, YouTube said that more than 500 hours of video were uploaded every minute.

Why it is good

- Creators bring the videos, so YouTube does not pay for each video up front. **(Rule 1)**
- Uploading and finding videos is fast and free. **(Rule 3)**
- Community rules remove harmful videos, so viewers and advertisers keep trusting it. **(Rule 4)**

BAD EXAMPLE 1

WeWork

What happened

WeWork rented office space to companies and called itself a technology company. But it signed long leases on its buildings, while members could leave after a month. When demand for offices fell, it still had to pay rent. In November 2023 it filed for bankruptcy protection, with more than $13 billion in lease payments owed.

Why it is bad

- It rented every building itself, like a pipeline. **(Rule 1)**
- Its income could disappear in a month; its costs lasted for years.
- Calling itself a platform did not change how the business worked.

BAD EXAMPLE 2

Bird

What happened

Bird put electric scooters on city streets and rented them through an app. Bird paid for the scooters itself, and many were damaged, stolen, or wore out quickly. Some cities limited scooters left blocking sidewalks. In December 2023, Bird filed for bankruptcy protection.

Why it is bad

- Bird paid for every scooter, so each new area needed more money. **(Rule 1)**
- Scooters lying on sidewalks angered cities and people who walk. **(Rule 4)**
- An easy app could not cover the cost of owning every scooter.

GOOD AND BAD AT A GLANCE

Which rule made the difference?

EXAMPLE	RESULT	THE RULE THAT DECIDED IT
Airbnb	**Good**	Connect rooms others own, with trust tools (Rules 1 and 2)
YouTube	**Good**	Creators bring videos; easy upload (Rules 1 and 3)
WeWork	**Bad**	Rented every building itself (Rule 1)
Bird	**Bad**	Owned every scooter (Rule 1)

A platform connects what others own. A business that owns everything is a pipeline, whatever it calls itself.

Tool 1: Take rate

USED IN EXERCISES 2 AND 3

Formula

Take rate = fee per match / price x 100

WHAT IT LOOKS LIKE

Example: a parking app

- It keeps $2 of each $10 parking booking.
- $2 / $10 x 100 = 20%.

Tool 2: Cost to grow: buying or connecting

USED IN EXERCISE 2

Formula

Pipeline: new units x cost per unit

Platform: one-time cost to set up (app, checks, insurance)

WHAT IT LOOKS LIKE

Example: a tool shop needs 20 more drills

- Buying: 20 x $80 = $1,600.
- Connecting neighbors' drills: $500 once.
- Buying costs $1,600 / $500 = 3.2 times more.

Tool 3: Profit over several periods

USED IN EXERCISE 3

Formula

Profit = revenue per period x periods - one-time cost - running cost per period x periods

WHAT IT LOOKS LIKE

Example: a $1,000 machine

- Earns $400 a month; costs $100 a month to run.
- After 6 months: 6 x $400 - $1,000 - 6 x $100 = $800.

Tool 4: Trade-off and decision rule

MEMO BULLET 2

Trade-off

What you give up to get something you value more.

MEMO BULLET 3

Decision rule

A promise, written before you start, about which result would make you change your decision.

Example: "If fewer than 30 students list a bike in the first month, we will buy 20 bikes instead."

Pipeline or platform?

Six businesses:

- (a) A bakery bakes bread and sells it in its shop.
- (b) An app connects drivers with people who rent out their empty parking spaces.
- (c) A TV channel makes its own shows and sells ads.
- (d) A website lets students sell used clothes to each other and keeps 10% of each sale.
- (e) A car maker builds cars and sells them through dealers.
- (f) An app lets home cooks sell meals to their neighbors.

EXERCISE 1 / EASY / 20 MIN

Use the template

TEMPLATE

Business [letter]: [pipeline / platform], because it [makes or buys / connects] [what], and earns money from [selling its own product / a fee on each match].

WORKED EXAMPLE: TWO OTHER BUSINESSES

A hotel company builds hotels and rents rooms.
Pipeline, because it builds hotels, and earns money from selling its own rooms.
A ride-hailing app connects riders with drivers who use their own cars.
Platform, because it connects riders and drivers, and earns a fee on each ride.

Does it make and sell, or connect and take a fee?

BUSINESS	ANSWER	WHY
(a) Bakery	Pipeline	Makes and sells its own bread
(b) Parking-space app	Platform	Connects drivers and space owners
(c) TV channel	Pipeline	Makes its own shows
(d) Used-clothes website	Platform	Connects sellers and buyers, 10% fee
(e) Car maker	Pipeline	Builds and sells its own cars
(f) Home-cook app	Platform	Connects cooks and neighbors

Buy more, or connect? CamPro

Scenario

- CamPro rents cameras to art students for **$20** a day. It owns 20 and needs **30** more in project season.
- **150** students own a good camera they use less than once a month.
- **Buying:** 30 cameras at **$400** each.
- **Connecting:** owner gets $15, CamPro keeps **$5**; set-up costs **$2,000** once.

Your steps

- **Step 1:** Take rate = $5 / $20 x 100 = ____%. Buying = 30 x $400 = $____. Connecting = $____. Buying costs ____ times more.
- **Step 2:** Check the four rules with the template.
- **Step 3:** Give a verdict: connect or buy.

Use the template

TEMPLATE

Rule 1 (idle resources): [number] people own [what] they rarely use.
Rule 2 (trust): we will use [trust tools].
Rule 3 (easy trade): it will be easy because [how].
Rule 4 (quality): every [item] must [simple rule].
Verdict: [connect / buy], because [one sentence with a number].

WORKED EXAMPLE: TOOLTOWN DRILLS

Rule 1: 200 neighbors own a drill they use a few times a year.
Rule 2: ID checks, ratings, and a $30 deposit.
Rule 3: book and pay in the app; pick up at our store.
Rule 4: every drill is charged and tested at our counter.
Verdict: connect, because it costs $500 instead of $1,600.

Connecting costs 6 times less

- Take rate = **25%**. Buying = **$12,000**; connecting = **$2,000**; buying costs **6 times** more.
- Rule 1 is strong: 150 students own a camera they rarely use.
- A strong answer names trust tools (ID checks, ratings, a deposit, damage insurance), an easy trade, and one quality rule.
- A careful answer also names the risk: students may not want to lend an expensive camera.

Buy bikes or become a platform? CampusBikes, next 2 years

24 months, 8 busy months / serve 70 more students a day / each extra bike rented about 20 days a busy month

PIPELINE

Option A: Buy 70 bikes

$300 per bike, plus **$15** a month per bike for 24 months.

CampusBikes keeps the full **$5** a day.

PLATFORM

Option B: Connect student bikes

Owner gets $4; CampusBikes keeps **$1** a day.

$3,000 once, plus **$100** a month for insurance and support.

Calculate before you decide (Tools 1 and 3)

- Take rate in Option B = $1 / $5 x 100 = _____ %
- Bike-days in busy months = 70 x 20 x 8 = _____
- Option A: revenue = bike-days x $5 = $_____; costs = 70 x $300 + 70 x $15 x 24 = $_____; profit = $_____
- Option B: revenue = bike-days x $1 = $_____; costs = $3,000 + $100 x 24 = $_____; profit = $_____
- If only half as many students want a bike: Option A profit = $_____; Option B profit = $_____

Write a 3-bullet memo to Leo (Tool 4)

TEMPLATE

To: [owner name], [company]
1. Decision and evidence: We should choose [option] because [the rule it follows] and [one number from your calculation].
2. Biggest risk and trade-off: The weakest point is [risk]. We give up [what we lose] to gain [what we protect or win].
3. Next step and decision rule: In the next busy month we will [one action] and measure [one number]. We will change this decision if [result].

Then give a 2-minute presentation using your three bullets.

CamPro: connect students' cameras?

To: Mia Park, owner, CamPro
1. Decision and evidence: We should connect students' cameras, because 150 students own a camera they rarely use (Rule 1) and connecting costs $2,000 against $12,000 for buying.
2. Biggest risk and trade-off: The weakest point is that owners may fear damage to an expensive camera. We give up the full $20 a day on new cameras to avoid $12,000 of cameras that sit unused outside project season.
3. Next step and decision rule: In the next project season we will open listings with damage insurance and measure how many cameras are listed. We will change this decision if fewer than 15 cameras are listed in the first two weeks.

Buying earns more only if almost all rentals happen

- Take rate = **20%**. Bike-days = **11,200**.
- Option A: $56,000 - $46,200 = **$9,800**. Option B: $11,200 - $5,400 = **$5,800**.
- Half the demand: Option A = $28,000 - $46,200 = **-$18,200**; Option B = $5,600 - $5,400 = **$200**.
- Option A wins only if demand is at least about **91%** of the expected level ($40,800 more costs / $44,800 more revenue).

What a strong memo looks like

- Option B earns a little less but cannot lose much, and it can grow beyond 70 bikes at no extra cost (800 student bikes).
- A memo for Option B points to idle bikes (Rule 1) and trust tools (Rule 2), and names the risk that few students list bikes.
- Decision rule: "If fewer than 70 bikes are listed by the second busy month, we will buy 30 bikes."
- A memo for Option A must explain why Leo is sure demand will stay high.

SUCCESS CHECK

Can you do these three things?

01

Explain pipeline and platform with provider, user, asset, and take rate.

02

Compare the cost of growing by buying with growing by connecting.

03

Compare the two plans over several periods and write a decision rule.

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